FinScan

FREE RESOURCE · 2026 EDITION

The 10-Point Stock Screening Checklist

The exact framework FinScan uses to scan 4,000+ tickers every week and surface undervalued stocks across global markets.

10 CRITERIA	**4,000+** TICKERS	**5** MARKETS	**3 min** PER SCAN

Use this when researching **any stock manually**. If a company fails 3 or more of these points, walk away. Order matters — run through it top to bottom.

1 Valuation — is it actually cheap?

- **P/E ratio** below 18 (or below the sector median).
- **EV/EBITDA** below 12 — strips out debt and tax noise.
- **P/B (Price-to-Book)** below 3 — for capital-intensive industries, below 1.5.

⚠ A low P/E alone is a trap. Always check it against the **sector**, not the whole market.

2 Profitability — does it actually make money?

- **Net margin** above 10%.
- **ROE** above 15% — and stable for 3+ years.
- **ROIC** above 10% — the real quality test.

3 Growth — is revenue moving up?

- **Revenue growth** ≥ 5% YoY (3-year average, not single-year).
- **EPS growth** ≥ 7% YoY.
- Revenue growing **faster than expenses** (operating leverage).

4 Debt — can it survive a downturn?

- **Debt-to-Equity** below 1.0 (below 0.5 = safer).
- **Interest coverage** above 5× — earnings cover interest.
- **Current ratio** above 1.5 — short-term liabilities covered.

5 Cash flow — paper profits or real cash?

- **Free Cash Flow positive** for the last 3 years.
- **FCF margin** above 8%.
- Operating cash flow ≥ net income (otherwise accounting may be flattering earnings).

6 Dividend (optional, but worth checking)

- **Yield** between 2% and 6% — above 6% often signals a trap.
- **Payout ratio** below 60% — sustainable.
- **History** of 5+ years without cuts.

7 Insider activity — what does management know?

- Insiders **buying** in the last 6 months = good sign.
- Heavy insider **selling** with no buying = red flag.
- Look up on SEC EDGAR (US) or local market regulator.

8 Analyst & momentum sanity check

- Analyst target price **above current price** by 10%+.
- Stock **above its 200-day moving average**.
- RSI between 30 and 70 — avoid extremes.

9 Industry & moat

- Does it have a **durable competitive advantage**? (brand, network effect, switching costs, scale)
- Industry **growing**, not in structural decline.
- Avoid commodity-only businesses unless deeply undervalued.

10 Red flags — automatic disqualifiers

- ❌ **Auditor changed** in last 2 years.
- ❌ **CEO or CFO resigned** suddenly.
- ❌ **3 consecutive years** of negative free cash flow.
- ❌ **Goodwill > 50%** of total assets.
- ❌ **Frequent share dilution** without revenue growth.

📋 How to use this checklist

1. **Score the stock** — count points it passes. **8+/10 = strong candidate.**
2. **Re-check quarterly** — metrics that mattered last quarter may have flipped.
3. **Diversify** — even a perfect score is one company; build a basket of 8–15.

⏱️ Pro Tip — Always check the chart before buying

1. Even when a stock is **Outperforming** on fundamentals, never enter blind — pull up the chart first.
2. If the price is sitting near **52-week highs**, don't chase it. Add it to your **watchlist** instead.
3. Wait for a **5–10% pullback** or a retest of a moving average (50-day or 200-day) before opening the position.
4. A great company at a great price is the goal — **timing matters as much as picking**.